

EXPECTATION

Trader purchases wheat from the farmer at ₹50/kg as per the forward contract.



REALITY

Trader purchases the wheat from the market at ₹45/kg and refuses to honour the contract with the farmer.



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COUNTERPARTY DEFAULT RISK MEANS THAT THE PARTICIPANT WHO ENDS UP HAVING A LOSS AT THE END OF THE CONTRACT MIGHT REFUSE TO HONOUR THE AGREEMENT AND HENCE DEFAULT.

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